

TENTATIVE RULINGS

DEPARTMENT C33

Judge Sandy N. Leal

September 17, 2026 at 10:00 AM

Civil Court Reporters: The Court does not provide court reporters for law and motion hearings. Please see the Court's website for rules and procedures for court reporters obtained by the Parties.

Tentative rulings: The Court endeavors to post tentative rulings on the Court's website in the morning, prior to the hearing. However, ongoing proceedings such as jury trials may prevent posting by that time. Tentative rulings may not be posted in every case. Please do not call the Department for tentative rulings if tentative rulings have not been posted. The Court will not entertain a request to continue a hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on tentative rulings: If all counsel intend to submit on the tentative ruling and do not desire oral argument, please advise the Courtroom Clerk or Courtroom Attendant by calling (657) 622-5233. Please do not call the Department unless all parties submit on the tentative ruling. If all sides submit on the tentative ruling and so advise the Court, the tentative ruling shall become the Court's final ruling and the prevailing party shall give notice of the ruling and prepare an order for the Court's signature if appropriate under Cal. R. Ct. 3.1312.

Non-appearances: If nobody appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.*, 205 Cal.App.4th 436, 442, fn. 1 (2012.))

Appearances: Department C33 conducts non-evidentiary proceedings, such as law and motion hearings, remotely by Zoom videoconference pursuant to Code of Civil Procedure section 367.75 and Orange County Local Rule 375. Any party or attorney, however, may appear in person by coming to Department C33 at the Central Justice Center, located at 700 Civic Center Drive West in Santa Ana, California.

All counsel and self-represented parties appearing in-person must check in with the courtroom clerk or courtroom attendant before the designated hearing time. All counsel and self-represented parties appearing remotely must check-in online through the court's civil video appearance website at <https://www.occourts.org/media-relations/civil.html> before the designated hearing time. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Participants will initially be directed to a virtual waiting room pending the start of their specific video hearing. Check-in instructions and instructional video are available at <https://www.occourts.org/media-relations/aci.html>. The Court's "Appearance Procedures and Information--Civil Unlimited and Complex" and "Guidelines for Remote Appearances" also are available at <https://www.occourts.org/media-relations/aci.html>. Those procedures and guidelines will be strictly enforced.

Public Access: The courtroom remains open for all evidentiary and non-evidentiary proceedings. Members of the media or public may obtain access to law and motion hearings in this Department by either coming to the Department at the designated hearing time or contacting the Courtroom Clerk at (657) 622-5233 to obtain login information. For remote appearances by the media or public, please contact the Courtroom Clerk 24 hours in advance so as not to interrupt the hearings.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

#	Case Name	Tentative
1	21-01218115 <i>Raggins vs. Kia America, Inc.</i>	Motion for Reconsideration WITHDRAWN
2	23-01338889 <i>Ragingbull.com, LLC vs. Electronic Commerce, LLC</i>	1) Motion to Amend 2) Motion for Modification <u>Motion #1</u> Plaintiff RagingBull.com, LLC’s Motion to Amend Judgment is DENIED. On August 23, 2024, the Court entered default judgment against defendant Electronic Commerce, LLC (Electronic Commerce) in the amount of \$4,601,211.82 (Judgment). (Bahcall Decl., ¶ 3, Ex. 2; ROA 180.) Plaintiff RagingBull.com, LLC (Plaintiff) moves to amend the Judgment to add ECom Payments, LLC (ECom) as a judgment debtor pursuant to Code of Civil Procedure section 187 provides. At the original hearing on this motion, held on 3/12/26, Plaintiff’s counsel alleged that the Settlement Agreement and Mutual Release (Settlement Agreement) between defendants Khaazra MaaRanu (MaaRanu) and Darnell Ponder (Ponder) that was in Plaintiff’s possession contained redactions. The Court therefore ordered MaaRanu to file the unredacted Settlement Agreement and took the matter under submission. (ROA 345.) MaaRanu lodged it the next day. On 5/8/26, the court allowed the parties to file supplemental briefings “as a result of the lodged document” on or before 5/25/26. (ROA 350, 357.) Having considered the supplemental briefing and the lodge document, the Court finds the redactions in the Settlement Agreement do not go to the merits of any of the bases for the Court’s prior tentative ruling. The Court now rules as follows: ECom’s evidentiary objections filed on 2/27/26 (ROA 334) are OVERRULED. Plaintiff’s request for judicial notice filed on 5/26/26 (ROA 364) is DENIED. ECom’s evidentiary objections filed on 9/3/26 (ROA 395) are SUSTAINED.

ECom's request for judicial notice filed on 9/3/26 (ROA 393) is DENIED.

Plaintiff argues ECom should be added to the Judgment as a judgment debtor under the successor corporation theory.

ECom argues Plaintiff does not and cannot establish ECom is a mere continuation of Electronic Commerce and equity does not support amending the judgment to add ECom.

Plaintiff responds that it has established ECom is Electronic Commerce's successor corporation and ECom's equitable arguments fail.

Code of Civil Procedure section 187 provides: "When jurisdiction is, by the Constitution or this Code, or by any other statute, conferred on a Court or judicial officer, all the means necessary to carry it into effect are also given; and in the exercise of this jurisdiction, if the course of proceeding be not specifically pointed out by this Code or the statute, any suitable process or mode of proceeding may be adopted which may appear most conformable to the spirit of this Code."

"Modification of a judgment may also be proper under the 'successor corporation' theory. According to that theory, when a corporation sells or transfers all of its assets to another corporation constituting its 'mere continuation,' the latter is also liable for the former's debts and liabilities. Generally, California decisions holding that a corporation acquiring the assets of another corporation is the latter's mere continuation

and therefore liable for its debts have imposed such liability only upon a showing of one or both of the following factual elements: (1) no adequate consideration was given for the predecessor corporation's assets and made available for meeting the claims of its unsecured creditors; (2) one or more persons were officers, directors, or stockholders of both corporations." (Wolf Metals Inc. v. Rand Pac. Sales, Inc. (2016) 4 Cal.App. 5th 698, 704-705 (Wolf Metals) [cleaned up].) "Under [the successor corporation] theory corporations cannot escape liability by a mere change of name or a shift of assets when and where it is shown that the new corporation is, in reality, but a continuation of the old. Especially is this well settled when actual fraud or the rights of creditors are involved, under which circumstances the courts uniformly hold the new corporation liable for the debts of the former corporation. The application of the theory presents equitable issues to be examined on their own unique facts." (Id. at p. 709 [cleaned up].)

“[I]t is not dispositive that some of the same persons may serve as officers or directors of the two corporations. The relevant inquiries are whether the two corporations have preserved their separate identities and whether recourse to the debtor corporation is available.” (CenterPoint Energy, Inc. v. Superior Court (2007) 157 Cal.App.4th 1101, 1121, citing Ray v. Alad Corporation (1977) 19 Cal.3d 22, 28.) Indeed “it is probable that no single factual element, standing alone, would establish or negate successor liability. The significant principle is that if a corporation organizes another corporation with practically the same shareholders and directors, transfers all the assets but does not pay all the first corporation's debts, and continues to carry on the same business, the separate entities may be disregarded and the new corporation held liable for the obligations of the old. Whether that has happened depends on all the facts and circumstances.” (Cleveland v. Johnson (2012) 209 Cal. App. 4th 1315, 1334 [cleaned up].)

Granting or denying a motion to add a judgment debtor lies within the court's discretion; however, the decision must be supported by substantial evidence. (Curci Invs., LLC v. Baldwin (2017) 14 Cal. App. 5th 214, 220; McClellan v. Northridge Park Townhome Owners Ass'n, Inc. (2001) 89 Cal.App.4th 746, 751-752.) The moving party bears the initial burden of presenting substantial evidence that establishes a basis for adding the proposed judgment debtor to the judgment.(See McClellan, supra, 89 Cal.App.4th at pp. 755-757.)

Here, Plaintiff argues the following evidence establishes ECom is Electronic Commerce's successor corporation because ECom paid no consideration for Electronic Commerce's assets, and MaaRanu controls ECom just as he controls Electronic Commerce: i) on August 26, 2022, the co-principals of Electronic Commerce, defendants Darnell Ponder (Ponder) and Khaazra MaaRanu (MaaRanu), executed a confidential Asset Purchase Agreement (APA) (Bahcall Decl., Ex. 4 at 91:14-16 [Ponder 10/14/25 Depo. Tr.], Ex. 5 [APA]); ii) the APA transferred “all of [Electronic Commerce]'s merchant portfolio accounts;” “all contact information for [] existing customers or merchants;” “intellectual property;” “net revenue, residuals, rebates, or credits;” “all proprietary and confidential data, information, and materials;” all “interest” in any “contracts, licenses, purchase orders, contractual rights, and other agreements;” “accounts receivables;” and “all rights and interests...in materials, data[,] and information collected about or on behalf of [Electronic Commerce]'s merchants...including

merchant applications and merchant agreements,” among other things, to ECom (Bahcall Decl., Ex. 5 at § 1.1, pp. 1-2 [APA]); iii) after the closing of the APA, which was August 24, 2022, Electronic Commerce held “nothing” (Bahcall Decl., Ex. 4 at 85:19-24 [Ponder 10/14/25 Depo. Tr.]); iv) it was MaaRanu's decision to “have the assets transferred from Electronic Commerce to ECom Payments” (Bahcall Decl., Ex. 4 at 85:11-14 [Ponder 10/14/25 Depo. Tr.]); v) Ponder paid

MaaRanu, not Electronic Commerce, \$200,000 for this transfer of assets from Electronic Commerce to ECom (Bahcall Decl., Ex. 4 at 85:6-86:3, 130:14-17 [Ponder 10/14/25 Depo. Tr.]); vi) the APA appointed MaaRanu the attorney-in-fact for Electronic Commerce, as well as the control person and sole owner of ECom (Bahcall Decl., Ex. 4 at 123:9-23, 129:3-10 [Ponder 10/14/25 Depo. Tr.]); vii) the APA included an indemnity clause requiring ECom to indemnify Electronic Commerce for claims by merchants after August 24, 2022 (Bahcall Decl., Ex. 4 at 123:9-23, 129:3-10 [Ponder 10/14/25 Depo Tr.]); and viii) Ponder also testified that ECom was “Mr. Maraanu’s company” that later “became one” with Electronic Commerce (Bahcall Decl., Ex. 3 at 59:5-13 [Ponder 8/8/25 Depo Tr.]); ECom assumed “100 percent of [Electronic Commerce’s] assets, operations, agreements, everything.” (Id., Ex. 3 at 59:14-18 [Ponder 8/8/25 Depo Tr.]); ECom is also in the credit card processing business, just like Electronic Payments. (Id., Ex. 3 at 59:14-18 [Ponder 8/8/25 Depo Tr.].)

In its supplemental brief, Plaintiff also points to the provision of the Settlement Agreement that shows Electronic Commerce transferred parts of its business to Ecom, including all rights to the monthly residual payments generated by the merchant portfolio, Electronic Commerce’s operating bank accounts and merchant reserve accounts, the policies and procedures Electronic Commerce used to operate and maintain the merchant portfolio, and Electronic Commerce’s domain names and toll-free number. (See Plaintiff’s Suppl., Ex. 2 [unredacted Settlement Agreement] § 4(a), (f), (g), (l), (m).)

Plaintiff’s evidence is insufficient to establish ECom is a mere continuation of Electronic Commerce.

First, consideration exists where there is any bargained-for benefit conferred or detriment undertaken. (Civ. Code, § 1605.) “The adequacy of consideration is tested as of the time of the making of the contract[.]” (A.J. Industries, Inc. v. Ver Halen (1977) 75 Cal.App.3d 751, 761.) Thus, consideration can include non-cash forms, such as assumption of liabilities/risk and relinquishment/forbearance of claims. (See CenterPoint Energy, Inc. v. Superior Court (2007) 157 Cal.App.4th 1101, 1120 [assumption of liabilities]; A.J. Industries, supra, 75 Cal.App.3d at p. 761 [avoidance of claims].) Plaintiff’s argument that ECom paid no consideration ignores the fact that the APA was part of a negotiated Settlement Agreement between Ponder and MaaRanu entered into in February 2022. (MaaRanu Decl., ¶ 5, Ex. A [Settlement Agreement]; see also Bahcall Decl., Ex. 5 [APA] at Recitals, p. 1.) The APA expressly provides that the “purchase price ... shall be the non-cash consideration determined by MaaRanu and Ponder under the terms set forth in the Settlement Agreement which determination will be binding on [Electronic Commerce].” (Bahcall Decl., Ex. 5 at § 1.3, p. 2.) In turn, the Settlement Agreement provides for non-cash consideration consisting of a broad release of claims and fee exposure granted by

MaaRanu and ECom to Electronic Commerce (MaaRanu Decl., Ex. A at Introductory para., p. 1 & § 6(a), p. 6), and ECom’s assumption of specified post-closing liabilities (Id., § 1.2, p. 2). The APA also provides indemnity protection for Electronic Commerce. (See Bahcall Decl., Ex. 5 § 4.2.)

Second, Ecom did not purchase all of Electronic Commerce’s assets. Namely, the APA expressly acknowledges Electronic Commerce “is a going concern with other accounts receivable unrelated to the Purchased Assets, which EC is not transferring to Ecom Payment under this Agreement.” (MaaRanu Decl., Ex. B, §1.l(g).) Plaintiff’s recitation of selected portions of the APA excludes language that acknowledges only certain assets were purchased. For example, Plaintiff asserts that the APA transferred “all of [Electronic Commerce]’s merchant portfolio accounts” to Ecom. (See Motion at p. 6:9.) However, the APA actually transfers to Ecom “All of [Electronic Commerce]’s Merchant Portfolio Accounts described and specifically set forth on Schedule 1.1(a) attached hereto and incorporated herein for all purposes (collectively, the ‘Purchased Assets’).” (Bahcall Decl., Ex. 5 § 1.1(a).) Further, the Settlement Agreement identifies assets not purchased by Ecom as: (i) employee agreements; (ii) office equipment; and (iii) Electronic Commerce’s rights and obligations under its lease agreement. (MaaRanu Decl., Ex. A, § 4(o).) Nothing in this provision states that the enumerated assets are the only assets Electronic Commerce retained. Plaintiff has not established that these retained assets are not valuable.

In addition, Plaintiff assumes without establishing that it was a “Merchant” at closing, which the APA defines as “any customer for whom [Electronic Commerce] receives residual payments as a component of the Portfolio Residual”. (MaaRanu Decl., Ex. B, pp. 1, 24.) Where a merchant relationship was closed pre-APA and no residuals were being received at closing, then necessarily that relationship does not fit the purchased portfolio construct. Here, both the record and Plaintiff’s own admission establish its account was closed before the APA, and thus it was not generating residual payments at closing. (MaaRanu Decl., ¶ 7 and Ex. C [Excel from the FDMS SYS showing Electronic Commerce merchant status as closed with a Close Date of June 2022]; Complaint ¶¶ 38-39 [alleging on June 1, 2022, Electronic Commerce terminated its account with Plaintiff].) Thus, Plaintiff was not a “Purchased Asset” and its dispute is not tied to a transferred, operating merchant relationship. Successor liability is not imposed simply because a buyer acquires some portion of a seller’s business. The creditor must show the buyer is the seller in substance. The evidence here lends support for the conclusion that Ecom was not a mere continuation of Electronic Commerce.

Further, after closing, Electronic Commerce continued to litigate its merchant claims (MaaRanu Decl., Ex. A, p. 21; Catanzarite Decl., Exs. E, G), and MaaRanu has instituted derivative claims on behalf of

Electronic Commerce alleging substantial diversion/theft of Electronic Commerce funds by Ponder and related insiders that seek recovery of funds and assets for Electronic Commerce which, if recovered, belong to Electronic Commerce and would be available to satisfy Electronic Commerce creditors. (Catanzarite Decl., Ex. F.) Therefore, the evidence establishes Electronic Commerce retained assets even under the APA (e.g., accounts receivable, choses in action) and remains a legally existing obligor.

Ponder's testimony that Electronic Commerce held nothing after closing is merely speculation. Again, Plaintiff's motion cherry picked selected language, this time from Ponder's deposition transcript, to support its position. When asked what

assets Electronic Commerce held after closing of the APA, Ponder actually testified as: "From my understanding, I believe nothing, but I'm not 100 percent sure because everything essentially went under his control. So I just kind of exited and went on my way, but if I was - - you know, my best knowledge, I would - - I think nothing, but I'm unsure because I didn't - - I wasn't involved any further from that point." (Bahcall Decl., Ex. 4 at 85:19-86-3.)

The motion is DENIED.

Motion #2

Defendant Khaazra MaaRanu's Motion to Modify Subpoena is GRANTED.

Defendant moves to modify plaintiff RagingBull.com, LLC's (Plaintiff) Civil Subpoena Duces Tecum (Duces Tecum) for Personal Appearance and Production of Documents (Subpoena) issued to Commercial Bank of California (CB Cal), which was served with Plaintiff's Order to Appear for Examination (ORAP), by striking document request Nos. 1, 3-35 from the Subpoena.

Relevant Facts

On February 28, 2024, the Court entered an order on a stipulation, whereby Plaintiff agreed to arbitrate its claims against defendants Parnell Ponder (Ponder) and Khaazra MaaRanu (MaaRanu) and would initiate arbitration with JAMS in that regard; the action was stayed as between Plaintiff, MaaRanu, and Ponder until the arbitration was complete; and the Court retained jurisdiction for post arbitration claims. (ROA 65.) The order and stipulation did not affect Plaintiff's claims against defendant Electronic Commerce, LLC (Electronic Commerce). (Ibid.) On May 30, 2024, the Court granted Ponder's motion to compel arbitration of MaaRanu's cross-claims. (ROA 153.)

On August 23, 2024, Plaintiff obtained a default judgment against Electronic Commerce in the amount of \$4,601,211.82. (ROA 180.)

On March 26, 2025, Plaintiff obtained the ORAP under Code of Civil Procedure, section 708.120. The ORAP states the person to be examined, third party CB Cal, “has possession or control of property belonging to the judgment debtor or who owes the judgment debtor or the defendant more than \$250.” (Catanzarite Decl., ¶4, Ex. 1, sub Ex. A, p. 2.) Plaintiff subsequently served the ORAP and the Subpoena on CB Cal, which seeks production of documents of 144 categories of documents. (Catanzarite Decl., ¶4, Ex. 1, sub Ex. A.)

Legal Standard

Section 1987.1 provides in relevant part that “[w]hen a subpoena requires ... the production of ... documents ... before a court, or at the trial of an issue therein, or at the taking of a deposition, the court, upon motion reasonably made by the party ... may make an order quashing the subpoena entirely, modifying it, or directing compliance with it upon such terms or conditions as the court shall declare, including protective orders. In addition, the court may make any other order as may be appropriate to protect the parties ... from unreasonable or oppressive demands....” (*See also City of Los Angeles v. Superior Court* (2003) 111 Cal.App.4th 883, 888 [procedural remedy for a defective subpoena is generally a motion to quash under § 1987.1].) Section 1987.2 allows courts to impose sanctions, including attorney's fees, if a subpoena is found to be oppressive or issued in bad faith.

Under section 708.120, subdivision (a), a judgment creditor may apply to the court for an order requiring a third party to appear before the court or a referee if the judgment creditor can prove “by affidavit or otherwise to the satisfaction of the proper court that [the] third person has possession or control of property in which the judgment debtor has an interest or is indebted to the judgment debtor in an amount exceeding two hundred and fifty dollars (\$250)” (Code Civ. Proc., § 708.120, subd. (a).)

“[T]he purpose of section 708.120 is to provide a tool that allows a judgment creditor to find property or money that is owed to the judgment debtor . . . [T]he statute clearly provides that the third party is to answer questions regarding the subject property or debt. Section 708.120 does not allow for a more expansive examination. Certainly, it is not the mechanism to allow a judgment creditor to discover the identity of a law firm's clients, review the law firm's billings of other clients, or otherwise obtain information about entities that may be the alter ego of the judgment debtor.” (*Fox Johns Lazar Pekin & Wexler, APC v. Superior Court* (2013) 219 Cal.App.4th 1210, 1220 [*“Fox Johns”*]; see also *Finance Holding Co. LLC v. The American Institute of Certified Tax Coaches, Inc.* (2018) 29 Cal.App.5th 663, 682 [*“Finance Holding”*].)

A judgment creditor may also issue a subpoena duces tecum under Code of Civil Procedure sections 1985 and 1987.5 to discover and inspect relevant documents. (See *Fox Johns, supra*, 219 Cal.App.4th at pp.

1215, 1218 [use of subpoena duces tecum in third party examination proceedings under § 708.120]; *Lee v. Swansboro Country Property Owners Assn.* (2007) 151 Cal.App.4th 575, 582 [use of subpoena duces tecum in judgment debtor examination proceedings under § 708.110].)

Because a third party examination under section 708.120 is limited to whether the third party possesses the judgment debtor's property or owes the judgment debtor a debt over \$250, and that section does not allow for a more expansive examination, the scope of the documents requested in a subpoena “tethered” to a third party examination under section 708.120 “must be similarly curtailed.” (*Shrewsbury Mgmt., Inc. v. Sup.Ct. (Boucher)* (2019) 32 Cal.App.5th 1213, 1226 [cleaned up], citing *Fox Johns, supra*, at p. 1220-1222; see also *Finance Holding, supra*, 29 Cal.App.5th at p. 682 [agreeing with Fox Johns's reasoning and conclusion on the scope of third party discovery in judgment enforcement proceedings under section 708.120].)

On the other hand, “a subpoena duces tecum issued to a third party and ‘tethered’ to a judgment debtor's examination under section 708.110 permits a wide scope of inquiry regarding the property and business affairs of the judgment debtor.” (*Shrewsbury, supra*, 32 Cal.App.5th at p. 1227, quoting *Fox Johns, supra*, at p. 1222.)

Merits

MaaRanu seeks to strike document request Nos. 1, 3-35 from the Subpoena. Request Nos. 1 and 3 - 12 seek, as to “any account associated with Economic Commerce”, documents to identify accounts (No. 1), monthly statements (No. 3), cancelled checks (No. 4), documents opening accounts (No. 5), deposit slips (No. 6), certificates of deposit (No. 7), funds by wire (No. 8), “funds by collection” (No. 9), applications for cashier's checks (Nos. 10 and 11), and “items drawn against any account associated with EC” (No. 12). (Ex. 1, sub Ex. A, Req. Nos. 1, 3 - 12.) Request Nos. 13 – 35 seek the same documents as to “any account associated with” MaaRanu and his company, Ecom Payments, LLC (“Ecom”), who are not judgment debtors nor are alleged to owe a debt of over \$250 to the judgment debtor.

With respect to MaaRanu’s third-party privacy objection as to unnamed third-party merchants, “corporations do not have a right of privacy protected by the California Constitution.” (*SCC Acquisitions, Inc. v. Superior Court* (2015) 243 Cal.App.4th 741, 755.)

Nevertheless, on their face, the requests at issue go beyond the scope of section 708.120 by seeking account information, funds, history information of merchants who are merely *associated with* Economic Commerce and of non-judgment debtors MaaRanu and Ecom. Notably, Plaintiff’s “good cause” declaration that accompanied the Subpoena does not allege that CB Cal possesses Economic Commerce’s property or owes Economic Commerce a debt over \$250. Instead, it states the Subpoena is issued to help “locate and identify available funds of Judgment Debtor Economic Commerce, LLC.” (Ex. 1, sub Ex. A, p. 23,

		Attachment 3 and 4.) Since the Subpoena is tethered to a third-party examination under section 708.120, the scope of the Subpoena's document request is limited to whether the CB Cal possesses the Economic Commerce's property or owes Economic Commerce a debt over \$250. (See <i>Fox Johns, supra</i>, 219 Cal.App.4th at p. 1222.) "While there may be other procedures that allow [the judgment creditor] to discover the information it seeks, neither section 708.120 nor a subpoena duces tecum <i>related to that statute</i> authorizes such broad discovery." (<i>Ibid.</i>, italics added.) Thus, the requests at issue are overbroad because they are not limited to accounts reflecting funds owned by Economic Commerce or to debts owed to Economic Commerce that are in excess of \$250. Request Nos. 13 – 35 also seek impermissible alter-ego discovery. (See <i>Fox Johns, supra</i>, 219 Cal.App.4th at p. 1220.) Plaintiff effectively concedes it seeks alter-ego discovery of Electronic Commerce by claiming Ponder testified in deposition that Electronic Commerce's assets and liabilities were transferred to Ecom "with absolutely no compensation to Electronic Commerce" and Ecom "was 'Mr. Maraanu's company' that later 'became one' with Electronic Commerce" and, therefore, MaaRanu and Ecom are liable on Plaintiff's judgment against Electronic Commerce. (Opp., pp. 4:8-22.) Section 708.120 is "not a mechanism for a judgment creditor to . . . otherwise obtain information about entities that may be the alter ego of the judgment debtor." (<i>Fox Johns, supra</i>, 219 Cal.App.4th at p. 1220.) Request Nos. 13 – 35 also violate the stay of this action pending arbitration as Plaintiff is attempting to obtain direct discovery concerning MaaRanu and Ecom. Plaintiff could have obtained the same discovery during arbitration. However, to date, Plaintiff has failed to initiate arbitration despite having stipulated to do so almost two years ago. (See Mot. p. 5:14; Catanzarite Decl., ¶3; Reply p. 3:26-27.) Plaintiff has failed to explain why it has not initiated arbitration. The motion is GRANTED.
3	22-01289838 <i>Brown vs. Dziuk</i>	Motion for Ruling on Objection Plaintiff/Cross-Defendant Max Brown's Motion for Ruling on the Objections to the Statement of Decision is GRANTED. The Court ORDERS a hearing on the objections to the Statement of Decision and Proposed Judgment.
4	21-01199592 <i>Burgos vs. Degiacomo</i>	1) Motion for Order to Stay Proceedings 2) Motion to Vacate Motion 1: Motion to Vacate Plaintiff Glenda Burgos's Motion to Vacate is OFF CALENDAR. Plaintiff seeks an order vacating the post-trial attorney fee award entered on 3/26/26 pursuant to Code of Civil Procedure section 663.

		However, pursuant to Code of Civil Procedure section 663a, subdivision. (b), the motion was deemed denied as of 6/9/26 without further order of the court because the court did not rule on the motion within 75 days of the clerk mailing plaintiff notice of the order. Further, even if the motion is properly deemed a motion for reconsideration under Code of Civil Procedure section 1008 as Defendant contends, the court lacks jurisdiction to rule on it because of the pending appeal of the order. Motion 2: Motion to Stay of Enforcement Plaintiff Glenda Burgos's Motion to Stay Enforcement is DENIED as moot. Plaintiff seeks an order staying enforcement of the post-trial attorney fee award in the amount of \$7,070 entered on 3/26/26 pending resolution of Plaintiff's motion to vacate. However, Plaintiff already paid the \$7,070 fee award in April of 2026. (Dreyfuss Decl., ¶ 3.)
5	24-01420260 <i>Claudio vs. People Assisting The Homeless of Riverside California, Incorporated</i>	Motion for Summary Judgment and/or Adjudication Defendants People Assisting the Homeless of Riverside, California, Inc.; David Oliver; Richard Robison; and Courtney Gonzalez's Motion for Summary Judgment is MOOT and thus, taken off calendar in light of Plaintiff Nathaniel Garcia Claudio's acceptance of Defendants' statutory offer to compromise.
6	25-01499896 <i>Exim Engineering, Inc. vs. Orange Courier Inc.</i>	Motion to Be Relieved as Counsel of Record The motion of attorney William Kersten from Kersten & Associates to be relieved as counsel of record for defendant Orange Courier Inc. is DENIED without prejudice. On 7-30-26, the court continued the hearing on the Motion for failure to file proof of service showing moving papers were served on client and on all other parties that have appeared in the case in compliance with California Rules of Court, Rule 3.1362 subdivision (d). (Cal. R. Ct., Rule 3.1362, subd. (d) ["The notice of motion and motion, the declaration, and the proposed order must be served on the client and on all other parties who have appeared in the case."]) On 9-9-26, moving attorney filed a proof of service showing the Notice of Motion and Motion to Be Relieved as Counsel and Declaration in Support of Motion was served on the client on 7-31-26 by mail. (ROA 35.) The proof of service does not show the Proposed Order was not served on the client and there is no showing that any of the moving papers were served on Plaintiff or on other parties who have appeared in the case. Moving attorney to give notice.
7	25-01457304 <i>Fondo vs. Reyes Coca-Cola Bottling, L.L.C.</i>	Motion for Leave to File Cross Complaint Defendant Lancer Worldwide's Motion for Leave to File Cross-Complaint is GRANTED.

		The motion is unopposed. This Court has discretion to allow filing of a cross-complaint in order to ensure efficient litigation of the parties' claims on the merits. (See <i>Crocker Nat. Bank v. Emerald</i> (1990) 221 Cal.App.3d 852, 864; <i>Kalai v. Gray</i> (2003) 109 Cal.App.4th 768, 776.) Here, Defendant, the alleged manufacturer of the soda dispenser which caused Plaintiff's injuries, seeks to cross-complaint against another manufacturer which it contends is at fault for manufacturing the device - Marmon Holdings, Inc. The Court finds it is in the interests of justice to adjudicate such issues in this proceeding. The Cross-Complaint shall be filed and served within ten days of this order.
8	26-01544996 <i>Gold Flora LLC vs. Constellation Newenergy, Inc.</i>	1) Demurrer to Complaint 2) Demurrer to Complaint 3) Motion to Quash Service of Summons 4) Motion to Strike Complaint 5) Motion to Strike Portions Of Complaint Defendant Constellation Newenergy, Inc.'s (Constellation) Demurrer to Plaintiffs' Complaint is OVERRULED. Request for judicial notice (ROA 26) Constellation requests judicial notice of the following documents: - Exhibit A – 3/27/25 Declaration of Laurie Holcomb in Support of Gold Flora Corporation's Ex Parte Application For an Order Appointing a Receiver, along with exhibits, filed in the case of In re Gold Flora Corporation, et al., Superior Court for the State of California, County of Los Angeles, Case No. 25SMCP00161. - Exhibit B - Gold Flora, LLC and Black Lion Farms, LLC's 4/4/23 First Amended Complaint, along with exhibits, filed in the case of Gold Flora, LLC, et al. v. Constellation NewEnergy, Inc., United States District Court for the Central District of California, Case No. 8:22-cv-02088-JVS-JDE. - Exhibit C - Draft Master Funding Agreement between Black Lion Farms, LLC and Constellation NewEnergy, Inc. - Exhibit D - United States District Court for Central District of California's 3/14/23 Order on Constellation NewEnergy, Inc.'s Motion to Dismiss Gold Flora, LLC and Black Lion Farms, LLC's Complaint in the case of Gold Flora, LLC, et al. v. Constellation NewEnergy, Inc., Case No. 8:22-cv-02088-JVS-JDE. A court may take judicial notice of records of any court of this state, of the United States, or of any state of the United States. (Evid. Code § 452, subd. (d).) While "[a] court may take judicial notice of the <i>existence</i> of each document a court file, [it] can only take judicial notice

of the *truth* of facts asserted in documents such as orders, findings of fact and conclusions of law, and judgments.” (*People v. Thacker* (1985) 175 Cal.App.3d 594, 599 [citation omitted, italics in original].)

With respect to the Draft Master Funding Agreement (Exhibit C), “the existence of a contract between private parties cannot be established by judicial notice under Evidence Code section 452, subdivision (h).” (*CSHV 1999 Harrison, LLC v. County of Alameda* (2023) 92 Cal.App.5th 117, 135 fn. 12 [citation omitted].)

The Court GRANTS judicial notice as to Exhibits A, B, and D and DENIES judicial notice as to Exhibit C.

First cause of action for breach of contract

“To state a cause of action for breach of contract, a party must plead the existence of a contract, his or her performance of the contract or excuse for nonperformance, the defendant’s breach and resulting damage.” (*Harris v. Rudin, Richman & Appel* (1999) 74 Cal.App.4th 299, 307 [citation omitted].)

Plaintiffs allege Gold Flora and Constellation entered into the Project Term Sheet with Black Lion as a third party beneficiary. (Compl. ¶ 88.) Plaintiffs allege the Project Term Sheet states Constellation approved their project for funding and allocated almost \$16 million to fund Plaintiffs’ facility improvement project. (Compl. ¶ 65.) Plaintiffs allege Defendants breached the Project Term Sheet by failing to fully fund the amount as required and that Plaintiffs were damaged. (Compl. ¶¶ 90, 91.)

This is sufficient at the pleading stage.

While Constellation contends the Project Term Sheet did not constitute a binding contract to provide financing as it left numerous terms for further negotiation and was subject to third-party approval, a determination of whether the term sheet constitutes a contract is not appropriate at the demurrer stage.

The Court OVERRULES demurrer to the first cause of action.

Second cause of action for breach of the covenant of good faith and fair dealing

“The implied covenant of good faith and fair dealing rests upon the existence of some specific contractual obligation.” (*Racine & Laramie, Ltd. v. Department of Parks & Recreation* (1992) 11 Cal.App.4th 1026, 1031 [citation omitted].) “The covenant of good faith is read into contracts in order to protect the express covenants or promises of the contract, not to protect some general public policy interest not directly tied to the contract’s purpose.” (*Ibid.* [citation omitted].) “In essence, the covenant is implied as a *supplement* to the express contractual covenants, to prevent a contracting party from engaging in conduct

which (while not technically transgressing the express covenants) frustrates the other party's rights to the benefits of the contract." (*Id.* at pp. 1031-1032 [citation omitted].) "There is no obligation to deal fairly or in good faith absent an existing contract." (*Id.* at p. 1032 [citations omitted].)

"If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated." (*Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371, 1395).

Constellation's contention this cause of action fails as Plaintiffs have not alleged the existence of a contract fails for the reason discussed above. Constellation further contends this claim fails as Plaintiffs merely restate the contract allegations in different terms and is thus duplicative.

In addition to alleging Constellation breached the contract by failing to fully fund the amount as required, Plaintiff further allege "Constellation materially breached the implied covenant of good faith and fair dealing that is implied in the Project Term Sheet by failing to attempt to meet their deadlines expressly set forth in the Project Term Sheet, and by failing and refusing to submit the Project Term Sheet for the 'concurrence' of the Treasury Department and Senior Management committee by September 15, 2022, by failing and refusing to meet any additional requirements or contingencies on their end to obtain the necessary approvals, and then asserting the lack of Treasury Department concurrence as a basis for denying, in bad faith, the existence of an agreement with Plaintiffs." (Compl. ¶ 95.)

As such, Plaintiffs sufficiently allege Constellation engaged in conduct which frustrated Plaintiffs' rights to the benefits of the contract.

The Court OVERRULES the demurrer as to the second cause of action.

Third cause of action for fraud (intentional misrepresentation) and fourth cause of action for fraud (concealment)

"The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638 [citations omitted].)

Plaintiffs allege:

- During a telephone call on August 16, 2022, at 12:45 pm PST with Holcomb, Lau, Breuninger, Navarro, Fraga, and Samways, Navarro stated that the loan "will fund in September." That was

		false; Defendants knew that Constellation would not fund in September. And Defendants knew that any other potential funding source was improbable at best. On that same call, Navarro also said that only the signed Project Term Sheet would be necessary for funding. (Compl. ¶ 103.) - On August 30, 2022, during a telephone call (apparently with everyone calling from their home offices in the locations noted above) with Holcomb, Lau, Breuninger, and Samways, Navarro made further reassurances that funding would timely occur and confirmed that the Treasury Department would “concur” as to funding and deemed the meeting as a “rubber stamp” event. (Compl. ¶ 104.) - These statements were knowingly false. Navarro knew that Constellation would not fund the transaction, and he knew that the Treasury Department would not concur as to funding. (Compl. ¶ 105.) Plaintiffs allege Defendants intended to defraud Plaintiffs and Plaintiffs reasonably relied on the false representation. (Compl. ¶ 106.) Plaintiffs allege without the misrepresentations by Defendants, Plaintiffs would not have ceased discussions with other potential lenders and represented to business relationships that final financing approval had been obtained. (Compl. ¶ 107.) Plaintiffs further allege Defendants concealed facts including that Constellation had not approved the project for funding, had not conducted a credit or management review, and would not fund the transaction, as well as the facts of Constellation’s outreach efforts with third-party lenders to secure funding for transaction. (Compl. ¶ 115.) Plaintiff allege Defendants had a duty to disclose material facts and risks associated with the transaction as they had exclusive knowledge of material facts, including that they would not fund in September and that the Treasury Department would not provide final concurrence. (Compl. ¶¶ 76, 103, 114.) These allegations are sufficient at the pleading stage. Constellation further contends Plaintiffs’ fraud causes of action are barred by the economic loss doctrine, which provides, “[i]n general, there is no recovery in tort for negligently inflicted ‘purely economic losses,’ meaning financial harm unaccompanied by physical or property damage.” (<i>Sheen v. Wells Fargo Bank, N.A.</i> (2022) 12 Cal.5th 905, 922 [citations omitted].) An element of independence from the parties’ contractual rights must be present to avoid application of the economic loss rule. (See <i>Rattagan v. Uber Technologies, Inc.</i> (2024) 17 Cal.5th, 20-21.) “[I]ndependence is present in the case of fraudulent inducement (whether it is achieved by intentional concealment or by intentional affirmative misrepresentations), because a defendant’s conduct in fraudulently inducing someone to enter a contract is separate from the defendant’s
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later breach of the contract” (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 841.)

As discussed above, Plaintiffs have sufficiently alleged a cause of action for fraud.

The Court OVERRULES the demurrer to the third and fourth causes of action.

Fifth cause of action for negligence misrepresentation

The elements of a negligent misrepresentation are (1) the misrepresentation of a past or existing material fact, (2) without reasonable ground for believing it to be true, (3) with intent to induce another’s reliance on the fact misrepresented, (4) justifiable reliance, and (5) resulting damage. (*Borman v. Brown* (2021) 59 Cal.App.5th 1048, 1060 [citation omitted].)

“Negligent misrepresentation does not require knowledge of falsity.” (*Ibid.* [citations omitted].)

“[T]he same elements of intentional fraud also comprise a cause of action for negligent misrepresentation, with the exception that there is no requirement of intent to induce reliance.” (*Tenet Healthsystem Desert, Inc. v. Blue Cross of California* (2016) 245 Cal.App.4th 821, 845.) Where Plaintiffs sufficiently plead a cause of action for fraud as discussed above, Plaintiffs also sufficiently plead a cause of action for negligent misrepresentation. (*Ibid.*)

The Court OVERRULES the demurrer to the fifth cause of action.

MOTION NO. 2 – MOTION TO STRIKE BY DEFENDANT CONSTELLATION NEWENERGY, INC.

Defendant Constellation Newenergy, Inc.’s (Constellation) Motion to Strike portions of Plaintiffs’ Complaint is GRANTED in part and DENIED in part.

Constellation moves to strike portions of Plaintiffs’ complaint referring to special damages, punitive damages, and attorneys’ fees.

Special damages

Constellation contends Plaintiffs fail to adequately plead a factual basis for the \$156.7 million requested in special damages. Specifically, Constellation contends, among other things, the alleged damages bear no connection to the contemplated project funding, Plaintiffs do not plead what alternative financing opportunities they allegedly lost, and the causal chain from the Project Term Sheet to the alleged damages is too speculative.

Plaintiffs allege they intended to use the loan proceeds to implement multi-million-dollar projects and pay off important debts, including debts due and payable, and promote and increase Plaintiffs’ business

value and revenue (Compl. ¶¶ 44, 45, 50.) Plaintiffs further allege that as a result of Defendants’ conduct, Plaintiffs incurred damages “related to increased financing costs and other costs incurred in obtaining such financing, resulting inability to timely meet certain debt obligations, diminution in value of Plaintiffs’ companies such that Plaintiffs were forced to enter into receivership, sell all of its operating assets and incur substantial operating losses and liabilities.” (Compl. ¶ 91.)

These allegations are sufficient at the pleading stage. A determination of whether Plaintiffs are actually entitled to special damages based on the language of the Project Term Sheet and understanding between the parties is not appropriate for purposes of this motion.

Punitive damages

To support a demand for punitive damages, a plaintiff must allege facts demonstrating oppression, fraud, or malice. (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 166; Civ. Code, § 3294, subd. (a).) “A fraud cause seeking punitive damages need not include an allegation that the fraud was motivated by the malicious desire to inflict injury upon the victim. The pleading of fraud is sufficient.” (*Stevens v. Superior Court* (1986) 180 Cal.App.3d 605, 610-611 [citations omitted].)

As discussed above, Plaintiffs have sufficiently alleged a cause of action for fraud.

Constellation further contends Plaintiffs fail to allege any of its officers, directors, or managing agents authorized, ratified, or personally engaged in the alleged oppressive or malicious conduct.

Plaintiffs allege Navarro is Constellation’s “Director, Commercial Solutions Sales and Strategy” and Winemiller is a Constellation “Business Development Manager.” (Compl. ¶¶ 26–27.) Plaintiffs further allege Navarro and Winemiller signed the Project Term Sheet and engaged in fraudulent conduct. (Compl. ¶¶ 7-10, 42, 76, 103-105.)

This is sufficient at the pleading stage.

Attorneys’ fees

Plaintiffs have not alleged any contract, statute or law which allows for the recovery of attorneys’ fees or statutory damages.

The Court GRANTS Constellation’s motion to strike Plaintiffs’ allegations and prayer for attorneys’ fees (Compl. ¶¶ 91, 96, 108, 118, 125, Prayer ¶ 3) with 10 days leave to amend.

**MOTION NO. 3 – DEMURRER TO COMPLAINT BY
DEFENDANTS ALTERNATIVE ENERGY DEVELOPMENT
GROUP, LLC, SOLARSENSE, LLC, AND CHRIS FRAGA**

Defendants Alternative Energy Development Group, LLC (AEDG), Solarsense, LLC (Solarsense), and Chris Fraga’s (collectively, Defendants) Demurrer to Plaintiff’s Complaint is OVERRULED.

Third cause of action for fraud (intentional misrepresentation) and fourth cause of action for fraud (concealment)

“The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or ‘scienter’); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.” (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638 [citations omitted].)

Plaintiffs allege Solarsense is AEDG’s corporate parent and Fraga is the CEO of AEDG and Solarsense. (Compl. ¶ 5.)

Defendants contend Plaintiffs fail to sufficiently allege facts supporting fraud as to AEDG, Solarsense, and Fraga (collectively, AEDG).

Plaintiffs contend they have sufficiently alleged fraud as to AEDG directly as well as by alleging conspiracy.

“Civil conspiracy is not an independent cause of action. Instead, it is a theory of co-equal legal liability under which certain defendants may be held liable for ‘an independent civil wrong’ committed by others. . . .

Under a conspiracy theory of recovery, liability depends on the actual commission of a tort. . . . [T]he conspiring defendants must have actual knowledge that a tort is planned and concur in the scheme with knowledge of its unlawful purpose. Knowledge of the planned tort must be combined with intent to aid in its commission.” (*Navarrete v. Meyer* (2015) 237 Cal.App.4th 1276, 1291-1292 [cleaned up].)

Plaintiffs allege:

- AEDG conspired with Winemiller and Navarro at Constellation to induce Plaintiffs to enter into a fraudulent agreement. (Compl. ¶ 9.)
- Fraga facilitated the agreement between Plaintiffs and Constellation and intentionally misrepresented or negligently withheld vital information regarding the transaction including AEDG’s application to be a direct partner with Constellation and misrepresented Constellation’s ability to fund the deal. Fraga had a duty to disclose this information and conspired with Navarro and Winemiller at Constellation to defraud Plaintiffs. (Compl. ¶ 10.)
- AEDG Colluded with Constellation during the negotiation process to misrepresent and conceal material facts regarding the deal from Plaintiffs during the negotiation period, including withholding from Plaintiffs material facts regarding the deal before and after the Project Term Sheet was executed. (Compl. ¶ 42.)
- Winemiller told Fraga Constellation did not yet have confirmation it could fund the full amount set forth in the Project

Term Sheet, but those doubts were never communicated to Plaintiffs by anyone at AEDG. (Compl. ¶ 60.)

- Defendants formed and operated a conspiracy and each stood to benefit financially from the transaction, and each Defendant was incentivized to delay and keep Gold Flora hooked into the Project Term Sheet in order to protect the deal. (Compl. ¶¶ 110-111.)

These allegations are sufficient at the pleading stage.

The Court OVERRULES the demurrer to the third and fourth causes of action.

Fifth cause of action for negligence misrepresentation

The elements of a negligent misrepresentation are (1) the misrepresentation of a past or existing material fact, (2) without reasonable ground for believing it to be true, (3) with intent to induce another's reliance on the fact misrepresented, (4) justifiable reliance, and (5) resulting damage. (*Borman v. Brown* (2021) 59 Cal.App.5th 1048, 1060 [citation omitted].)

"Negligent misrepresentation does not require knowledge of falsity." (*Ibid.* [citations omitted].)

"[T]he same elements of intentional fraud also comprise a cause of action for negligent misrepresentation, with the exception that there is no requirement of intent to induce reliance." (*Tenet Healthsystem Desert, Inc. v. Blue Cross of California* (2016) 245 Cal.App.4th 821, 845.) Where Plaintiffs sufficiently plead a cause of action for fraud as discussed above, Plaintiffs also sufficiently plead a cause of action for negligent misrepresentation. (*Ibid.*)

The Court OVERRULES the demurrer to the fifth cause of action.

MOTION NO. 4 – MOTION TO STRIKE BY DEFENDANTS ALTERNATIVE ENERGY DEVELOPMENT GROUP, LLC, SOLARSENSE, LLC, AND CHRIS FRAGA

Defendants Alternative Energy Development Group, LLC, Solarsense, LLC, and Chris Fraga's (collectively, Defendants) Motion to Strike portions of Plaintiffs' Complaint is GRANTED in part and DENIED in part.

Defendants move to strike portions of Plaintiff's referring to punitive damages and attorneys' fees.

Punitive damages

To support a demand for punitive damages, a plaintiff must allege facts demonstrating oppression, fraud, or malice. (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 166; Civ. Code, § 3294, subd. (a).) "A fraud cause seeking punitive damages need not include an allegation that

		the fraud was motivated by the malicious desire to inflict injury upon the victim. The pleading of fraud is sufficient.” (<i>Stevens v. Superior Court</i> (1986) 180 Cal.App.3d 605, 610-611 [citations omitted.]) As discussed above, Plaintiffs have sufficiently alleged a cause of action for fraud. <u>Attorneys’ fees</u> Plaintiffs have not alleged any contract, statute or law which allows for the recovery of attorneys’ fees or statutory damages. <u>MOTION NO. 5 – MOTION TO QUASH BY SPECIALLY APPEARING DEFENDANTS TIMOTHY NAVARRO AND PATRICK WINEMILLER</u> The Court GRANTS Defendants’ motion to strike Plaintiffs’ allegations and prayer for attorneys’ fees (Compl. ¶¶ 91, 96, 108, 118, 125, Prayer ¶ 3) with 10 days leave to amend. Specially Appearing Defendants’ Timothy Navarro and Patrick Winemiller’s Motion to Quash Service of Summons and Complaint is CONTINUED to [REDACTED]. The Court notes Plaintiffs have filed a Motion to Seal Exhibits F through N of the Declaration of Kieran Ringgenberg supporting the Opposition to the Motion to Quash and any references to them set for hearing on 1/28/27. (ROA 152.) As the Motion to Seal includes documents relevant to the Court’s determination of the Motion to Quash, the Court CONTINUES the hearing to after the hearing on the Motion to Seal.
9	25-01536466 <i>Inda vs. DiSegna</i>	Motion to Strike Defendants Joseph Disegna and Kim Disegna’s motion to strike portions of plaintiffs Victor Inda and Miriam Azizi’s Complaint is GRANTED with 20-days leave to amend. Defendants seek to strike paragraphs 19, 20, 34, 37, 48, 49, 52 and prayer (B) (incorrectly referenced as “Page 9, ¶ 52”) of Plaintiff’s Complaint. Civil Code Section 3294, subdivision (a) provides for punitive damages: “In an action for the breach of an obligation not arising from contract, where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice, the plaintiff, in addition to the actual damages, may recover damages for the sake of example and by way of punishing the defendant.” Section 3294, subdivision (c) defines malice, oppression and fraud as follows: “(1) ‘Malice’ means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others. [¶] (2) ‘Oppression’ means despicable conduct that

		subjects a person to cruel and unjust hardship in conscious disregard of that person's rights. [¶] (3) 'Fraud' means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury." In support of their claim for punitive damages Plaintiffs allege Defendants refused to accept payment of rent owed pursuant to the subject residential lease from Mercy House on behalf of Plaintiffs. (Complaint, ¶ 18.) Defendants engaged in a patten of harassment and intimidation to force Plaintiffs to leave their leased home and that Defendants made false allegations of fraud and squatting about Plaintiffs to law enforcement in an improper attempt to intimidate Plaintiffs into leaving their home. (Complaint, ¶¶ 19-20.) Plaintiffs also contend defendant Joseph DiSegna initiated an unlawful detainer to evict Plaintiffs, and their minor son claiming failure to pay rent, even though Defendants refused to accept rent payment tendered on behalf of Plaintiffs Victor Inda and Miriam Azizi. (Complaint, ¶ 21.) These allegations are conclusory and insufficient to allege malice, fraud, or oppression. Therefore, the Motion to Strike punitive damages is GRANTED with 20-days leave to amend. Moving Defendants to give notice.
10	25-01472504 <i>Maleki vs. Schumacher & Maleki, LLC</i>	Motion for Summary Judgment and/or Adjudication Plaintiff/Cross-Defendant Majid Maleki's Motion for Summary Adjudication is GRANTED as to the Complaint and DENIED as to the Cross-Complaint. Plaintiff/Cross-Defendant moves for summary adjudication of (1) the first cause of action in the Complaint for dissolution, (2) the first cause of action in the Cross-Complaint for breach of fiduciary duties, (3) the second cause of action in the Cross-Complaint for breach of contract, and (4) the third cause of action in the Cross-Complaint for embezzlement. Plaintiff's request for judicial notice (ROA 93) is granted as to filings in this matter and filings with the Secretary of State related to the subject LLC. Defendant's request for judicial notice (ROA 157) is granted to the extent it seeks judicial notice of contents of the register of actions in this case and denied to the extent it seeks judicial notice of the truth of conclusions to be drawn from such filings or lack thereof. The Court exercises its discretion to consider Defendant's separate statement in opposition because the hearing date was continued and Plaintiff had adequate time to respond.

Legal Standard:

Code of Civil Procedure section 437c(f)(1) states,

“(f)(1) A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends that the cause of action has no merit, that there is no affirmative defense to the cause of action, that there is no merit to an affirmative defense as to any cause of action, that there is no merit to a claim for damages, as specified in Section 3294 of the Civil Code, or that one or more defendants either owed or did not owe a duty to the plaintiff or plaintiffs. A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty.”

Section 437c(p) provides,

“(p) For purposes of motions for summary judgment and summary adjudication:

- (1) A plaintiff or cross-complainant has met that party's burden of showing that there is no defense to a cause of action if that party has proved each element of the cause of action entitling the party to judgment on the cause of action. Once the plaintiff or cross-complainant has met that burden, the burden shifts to the defendant or cross-defendant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto. The defendant or cross-defendant shall not rely upon the allegations or denials of its pleadings to show that a triable issue of material fact exists but, instead, shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action or a defense thereto.
- (2) A defendant or cross-defendant has met that party's burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action, even if not separately pleaded, cannot be established, or that there is a complete defense to the cause of action. Once the defendant or cross-defendant has met that burden, the burden shifts to the plaintiff or cross-complainant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto. The plaintiff or cross-complainant shall not rely upon the allegations or denials of its pleadings to show that a triable issue of material fact exists but, instead, shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action or a defense thereto.

Factual Summary:

The parties formed Schumacher & Maleki, LLC (“the LLC”), which provides interior design services, on 8/5/16 with Plaintiff Maleki and Defendant Schumacher each holding a 50% membership interest. (Plaintiff’s Undisputed Material Facts [UMFs] 1-2.) The 8/5/16

Operating Agreement provides the LLC is member-managed and both parties are managers of the LLC. (UMF 3.) A majority of members' consent is required to dissolve the LLC. (UMF 5.) Section 9.1 of the Operating Agreement provides, "The Company shall be dissolved on the first to occur of the following events: (a) The Vote of the Majority of Members (b) The sale or other disposition of substantially all of the Company's assets. (c) Entry of a decree of judicial dissolution under Corporations Code §17707.03." (UMF 6.)

The parties engaged in discussions about dissolving the LLC beginning in approximately November 2023 but were unable to reach agreement on dissolution. (UMFs 7-10.) Defendant Schumacher incorporated her own interior design company on 1/9/24 and stated her last day of work at the LLC would be 5/2/24. (UMFs 11-12.) On 8/28/24, Defendant Schumacher emailed her resignation as co-manager of the LLC. (UMF 22.) The parties discussed buyout options for Schumacher's 50% interest in the LLC but were unable to reach agreement. (UMFs 13-19, 24.) Schumacher therefore continues to hold a 50% membership interest in the LLC but she now performs design work for her own LLC. (UMF 25.)

Plaintiff asserts dissolution is required because the parties are "deadlocked and subject to internal dissension" regarding management and operation of the LLC. (UMF 27.)

Defendant asserts there is no management deadlock/dissension because she already resigned as manager and in reality, Maleki is solely managing the LLC. (See Defendant's Response to UMF 27.)

Status of Discovery:

First, Defendant contends the motion should be continued because her motion to compel responses to form interrogatories, filed on 8/12/25, has been continued and is currently set for IDC on 10/21/25. Defendant fails to explain how the subject discovery is likely to demonstrate triable issues regarding the present motion. Moreover, the delay has largely been the result of Defendant's counsel's failure to adequately meet and confer. Therefore, the Court will rule on the merits.

First Cause of Action in Complaint - Dissolution:

First, Defendant has not shown adjudication of this cause of action is improper because the LLC has not been named and served as a separate party. Both members of the LLC are already parties and are able to adjudicate all disputes between themselves without adding the LLC as a separate party.

Corporations Code section 17707.01 states, "A limited liability company is dissolved, and its activities shall be wound up, upon the happening of the first to occur of the following: (a) On the happening of an event set forth in a written operating agreement or the articles of organization."

Corporations Code section 17707.03 further explains:

“(a) Pursuant to an action filed by any manager or by any member or members of a limited liability company, a court of competent jurisdiction may decree the dissolution of a limited liability company whenever any of the events specified in subdivision (b) occurs.

(b)(1) It is not reasonably practicable to carry on the business in conformity with the articles of organization or operating agreement.

(2) Dissolution is reasonably necessary for the protection of the rights or interests of the complaining members.

(3) The business of the limited liability company has been abandoned.

(4) The management of the limited liability company is deadlocked or subject to internal dissension.

(5) Those in control of the limited liability company have been guilty of, or have knowingly countenanced, persistent and pervasive fraud, mismanagement, or abuse of authority.”

Here, Plaintiff has demonstrated that dissolution is necessary under Corporations Code section 17707.03(b)(1), (2), and (4). Although the parties are 50% manager members, Defendant has stated she no longer wants to participate as a manager. The LLC’s Operating Agreement provides the LLC shall be operated by its managers. (Articles V, VII.) Article VIII provides for member dissociation and transfer of interest, but the parties have been unable to reach agreement regarding transfer of Defendant’s interests in the LLC pursuant to Article VIII or dissolution/winding up under Article IX. Plaintiff cannot unilaterally make such decisions as a 50% member.

Defendant’s argument that there is no deadlock because she resigned her management role lacks merit. Without Defendant’s participation or agreement, the LLC lacks a majority allowing it to continue to operate, distribute its assets or profits, or wrap up its operations with the consent of a majority of members because Defendant holds a 50% interest.

Therefore, the motion is granted as to this issue. The parties shall follow the procedures set out in the Operating Agreement and applicable law to allocate the LLC’s assets. If necessary, the parties may seek Court relief in a separate noticed motion regarding the distribution of assets pursuant to applicable law.

First Cause of Action in Cross-Complaint – Breach of Fiduciary Duties:

Cross-Complainant/Defendant alleges Plaintiff/Cross-Defendant has breached fiduciary duties in relation to formation of his own company, use of LLC’s assets, and failure to distribute the LLC’s earnings to Defendant.

Plaintiff asserts he has sole discretion as the remaining manager as to whether to make distributions and has exercised business judgment in deciding not to make further distributions. (UMFs 60, 61.) However, he also asserts it would be improper to allocate distributions prior to dissolution due to the LLC’s deadlock.

Defendant disputes these facts, submitting evidence that the cash for her portion of the distribution is available in the company bank account and is being withheld strategically to pressure Defendant to agree to his dissolution/buyout terms. Defendant asserts that payout of 50% of the annual available cash is mandatory under the Operating Agreement. (§ 4.13.)

Plaintiff asserts he is protected by the business judgment rule and the doctrine of unclean hands.

“The way in which the parties moving for, and opposing, summary judgment may each carry their burden of persuasion and/or production depends on which party would bear what burden of proof at trial. The business judgment rule creates a presumption that the Board acted properly and applies to both directors and officers. The presumption is rebuttable and may be overcome by evidence supporting an exception to the rule. Although courts have stated that a plaintiff has a stringent or heavy task in defeating the business judgment rule, we do not regard such statements as imposing a heightened burden of proof but rather as a recognition of the rule's practical success.” (*Hill v. State Farm Mutual Automobile Ins. Co.* (2008) 166 Cal.App.4th 1438, 1469 [cleaned up].)

“The business judgment rule is a defense to an alleged breach of the duty of care.” (*Id.* at 1473.) “Where there is no conscious decision by directors to act or refrain from acting, the business judgment rule has no application. The absence of board action, therefore, makes it impossible to perform the essential inquiry whether the directors have acted in conformity with the business judgment rule in approving the challenged transaction. The rule does not apply when the directors did not actually make a decision.” (*Id.* at 1476, cleaned up.)

Whether the doctrine of unclean hands applies is generally a question of fact. (*Padideh v. Moradi* (2023) 89 Cal.App.5th 418, 436.)

Defendant/Cross-Complainant has demonstrated a dispute of fact as to whether Plaintiff/Cross-Defendant has breached fiduciary duties related to making distributions under the Operating Agreement and whether doing so constitutes a valid exercise of business judgment, especially in the absence of a majority of LLC members participating in decision-making. There is also a question of fact as to whether Defendant's alleged unclean hands preclude granting relief.

Second Cause of Action in Cross-Complaint – Breach of Written Contract:

This claim is similarly premised on Plaintiff's alleged failure to make required distributions under the LLC's Operating Agreement. For the same reasons stated above, there is a dispute of fact regarding the parties' dispute about payout of distributions and whether failure to pay a distribution violated the Operating Agreement.

Third Cause of Action in Cross-Complaint – Embezzlement:

		This claim also arises from the claim Plaintiff improperly withheld distributions of \$51,882 for 2024. “[E]mbezzlement, a form of larceny, has the same theft elements. The offense is committed by every person who (1) takes possession (2) of personal property (3) owned or possessed by another, (4) by means of trespass (5) with the intent to steal the property, and (6) carries the property away. (People v. Davis (1998) 19 Cal.4th 301, 305, 79 Cal.Rptr.2d 295, 965 P.2d 1165 (Davis).) The general rule, as stated by the Davis court, is that the intent to steal required for larceny is an intent to deprive the owner permanently of possession of the property.” (People v. Casas (2010) 184 Cal.App.4th 1242, 1246.) Again, Plaintiff maintains he has sole discretion to make or withhold distributions as the remaining manager under the Operating Agreement. He states there has been no distribution to either member because the LLCs is deadlocked and distribution is impractical until the LLC is dissolved. Therefore, Plaintiff asserts he has a “complete affirmative defense (Good Faith).” (Notice, p. 5.) Plaintiff further asserts the disputed funds are being held in trust pending the resolution of this litigation. (UMF 133, Reply. at p. 9.) However, there is a triable issue as to whether Plaintiff has wrongfully taken possession of funds to which Defendant is entitled, with the intent to permanently deprive Defendant of such funds. Although Plaintiff asserts plausible grounds for withholding distributions, Defendant asserts distributions are mandatory and the funds are being withheld for strategic reasons without legal authority. (See Defendant’s Responses to UMFs 184-211.) Therefore, the motion is denied as to this claim.
11	25-01510887 Ortiz-Garcia vs. Envision Nwk Toy Auto LLC	Motion to Compel Arbitration Defendants Envision Nwk Toy Auto, LLC and Envision Motor Holdings, LLC’s Motion to Compel Arbitration is GRANTED. This action is ORDERED stayed pending the resolution of arbitration. (Code Civ. Proc., § 1281.4.) The court resolves the parties’ dispute regarding the existence of the arbitration agreement using a three-step burden-shifting process. (<i>Espejo v. Southern California Permanente Medical Group</i> (2016) 246 Cal.App.4th 1047, 1056.) “The arbitration proponent must first recite verbatim, or provide a copy of, the alleged agreement. A movant can bear this initial burden by attaching a copy of the arbitration agreement purportedly bearing the opposing party’s signature. At this step, a movant need not follow the normal procedures of document authentication’ and need only ‘allege the existence of an agreement and support the allegation as provided in rule 3.1330. If the movant bears its initial burden, the burden shifts to the party opposing arbitration to identify a factual dispute as to the agreement’s existence—in this instance, by disputing the authenticity of their signatures. To bear this burden, the arbitration opponent must offer admissible evidence creating

		a factual dispute as to the authenticity of their signatures. The opponent need not prove that his or her purported signature is not authentic, but must submit sufficient evidence to create a factual dispute and shift the burden back to the arbitration proponent, who retains the ultimate burden of proving, by a preponderance of the evidence, the authenticity of the signature.” (<i>Iyere v. Wise Auto Group</i> (2023) 87 Cal.App.5th 747, 755 (cleaned up).) Defendants have submitted sufficient evidence to overcome the initial low burden of proving the existence of an agreement to arbitrate by attaching the agreement to arbitrate to Morris’s declaration. Thus, the burden shifts to Plaintiff to contest the agreement’s existence, usually through disputing the alleged signature. Plaintiff instead challenges the semantics of the label of his hiring status at the time of the alleged signing. This is insufficient to create a factual dispute of the agreement’s existence. Plaintiff would need some employment agreement with the newly formed entity to be an employee of that entity and to make any employment claims against that entity. Importantly, Plaintiff does not dispute signing the agreement. (Ortiz-Garcia Decl., ¶¶ 2-8.) Thus, Plaintiff has not sufficiently challenged the existence of the agreement. Additionally, Plaintiff cannot both claim Defendants are not his employer for the purposes of this Motion and also claim they are liable for his employment claims as his employer for the purposes of his Complaint. Even if the Court were to entertain this contradiction, Plaintiff would be estopped from asserting Defendants could not compel arbitration. (See <i>JSM Tuscany, LLC v. Superior Ct.</i> (2011) 193 Cal.App.4th 1222, 1239.) Finally, Plaintiff has failed to demonstrate any substantive unconscionability as a defense to enforcement. Procedural and substantive unconscionability “must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability.” (<i>Armendariz v. Foundation Health Psychcare Servs., Inc.</i> (2000) 24 Cal.4th 83, 114.) “The party resisting arbitration bears the burden of proving unconscionability.” (<i>Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC</i> (2012) 55 Cal.4th 223, 247.) Accordingly, Defendants’ Motion is granted.
12	25-01506551 Ramirez vs. Essex Property Trust	Motion to Substitute Successor Plaintiffs’ motion to substitute Alicia Perez as successor in interest to deceased plaintiff Jonathan Paul Ramirez is CONTINUED to ____. “A pending action or proceeding does not abate by the death of a party if the cause of action survives.” (Code Civ. Proc. §377.21.) “On motion after the death of a person who commenced an action or proceeding, the court shall allow a pending action or proceeding that does not abate to be continued by the decedent's personal representative or, if none, by the decedent's successor in interest.” (Code Civ. Proc. §377.31.)

		Code of Civil Procedure section 377.32 provides the procedural requirements for a successor in interest to substitute in as plaintiff. Subdivision (a) of section 377.32 requires that a person who seeks to continue a pending action as the decedent's successor in interest execute and file an affidavit or a declaration under penalty of perjury. Although the Notice of Motion states that a Declaration of Alicia Perez is being filed, no such declaration was filed with the court. (Notice, p. 2, ln. 9.) The hearing on the Motion is continued to allow Alicia Perez to submit a declaration which complies with the requirements set forth in Code of Civil Procedure Section 377.32. Alicia Perez may file and serve a declaration no later than 9 court days prior to the continued hearing. Plaintiffs to give notice.
13	25-01466414 <i>Seeds vs. General Motors, LLC</i>	Motion to Be Relieved as Counsel of Record Strategic Legal Practices, APC to withdraw as attorney of record for plaintiff Gary N. Seeds is GRANTED. (Code Civ. Proc. § 284, CRC 3.1362.) Attorney will be relieved as counsel of record for client effective upon filing of a proof of service of the signed order on client. Moving attorney is to give notice.